

Mounting US debt is the most overlooked long-term security threat

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Practice Letter

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This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

Clients have asked if there are any under-the-radar security threats that I'm concerned about and whether the Iran war is distracting attention from longer-term, systemic challenges. I know from experience serving for nearly four decades in national security positions, including two stints at the White House, that it's easy to get absorbed by the challenges of the day—and President Donald Trump's team has many on its plate.

However, the security challenge that is most worrisome and yet not fully appreciated is the dramatic rise in US debt and interest payments on the debt, and the spending limits this will place on future defense budgets and, by extension, US military capabilities. While debt dominates headlines in Washington, its specific implications for Pentagon procurement and the defense industry remain underexamined. This issue is likely to affect prime contractors as well as defense start-ups, alter the scope of both existing and future defense contracts, and provide meaningful market opportunities in certain areas but major financial risk in others.

America's Debt Level Is Alarming

Last month, the national debt hit \$40 trillion, or nearly \$118,000 for every single American. Alarmingly, 50% of this debt has been accrued since Trump was first elected in 2016, and 75% since Barack Obama was elected in 2008—with the 2009 recession and the COVID-19 epidemic acting as jet fuel to the long-standing problems of overspending and tax cuts.

There are indications that this trend is only going to get worse. The Congressional Budget Office found that interest payments on the national debt, as measured as a percentage of GDP, exceeded total US defense spending last year. They have already surpassed federal spending on Medicare, and by 2038, they are expected to exceed all discretionary funding. That model isn't sustainable.

What this portends for defense spending?

Global defense spending has been soaring in recent years and is projected to approach \$3 trillion in 2026. The US has led the way and is expected to spend more than \$1 trillion this year alone, not counting the \$440 billion dedicated to the Department of Veterans Affairs—a record amount and part of

the bill for America's involvement in multiple wars over the past 25 years.

As debt rises to unsustainable levels and pressure to reduce federal government and defense spending intensifies, there is likely to be a major impact on Pentagon procurement and modernization. I anticipate that the Trump administration will try to protect the defense budget for the rest of his administration—he has, after all, made it a top priority—but certainly not to the level of the president's initial request of \$1.5 trillion for 2027.

However, it's possible that soon, even as early as right after the midterms in November, defense officials of both parties in Congress may try to find a reasonable bipartisan path—perhaps forming a panel of experts to craft recommendations—to begin charting a new spending path for the department. Regardless, it's virtually certain under any scenario that within the next two to three years a serious relook at the defense budget and the department's modernization priorities is coming.

What this means for defense clients

Issues that will be front and center as budgetary pressures mount and US defense leaders look to cut costs and set new spending objectives:

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A reevaluation of long-lead, high-cost weapons programs. The combination of budgetary pressure and the lessons learned from the Iran and Russia-Ukraine conflicts concerning the value of cheap, low-technology weapons on the modern battlefield is likely to trigger a reexamination of several DoD programs that are eating up an enormous share of the Pentagon's current and future acquisition budget. These include, among others, the F-47 fighter; the next-generation intercontinental ballistic missile (ICBM); the Columbia-class ballistic missile submarine; the Gerald Ford nuclear aircraft carrier; the Golden Dome missile shield; and the likely soon-to-be announced next-generation US Navy fighter. At least a few of these programs, even if already awarded and under contract, will eventually be scaled back or outright canceled because of cost concerns, competing priorities, and long development timelines (some of these programs are not expected to reach initial operational capability until the early-2030s, and some won't be fully delivered until the early 2040s). These delivery timelines are going to be heavily scrutinized during this period of rapid battlefield adaptation.

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An emphasis on force multipliers. Part of the justification for reconsidering major programs will be to reallocate funding toward new weapons and tools that can be brought to combat operations now, including: more affordable drones and counter-drones and the full suite of battlefield munitions; advanced communication and battlefield data integration systems; advanced intelligence collection capabilities across all domains; space and counterspace systems; and offensive and defensive cyber tools. These assets are already having an outsized effect on the modern battlefield and the demand to increasingly integrate them into America's defense arsenal will be enormous. In my view, clients operating in these mission areas are likely to be well-positioned going forward but will need to be highly adaptive as the pace of global change is being measured in weeks not months (most dramatically in the Russia-Ukraine war, see: Hot war with the West remains unlikely as Russia escalates hybrid activity , 14 September 2026).

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A reevaluation of America's overseas footprint. The spread of long-range precision weapons and Iran's strikes on nearly two dozen US facilities will prompt a major debate over maintaining a large presence near conflict zones. The US has hundreds of military bases in more than 50 countries, and I can envision a strong push to relocate to offshore platforms or bring assets home entirely to save billions in

hardening, reconstruction, and new construction costs. Clients involved in the Pentagon's infrastructure development work should expect decisions affecting some regions, especially in the Middle East, to come sooner rather than later.

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A drive to better integrate the commercial sector. This effort, which has begun in earnest under the Trump administration, will almost certainly gather steam in the next few years—and may herald the end of the pure-play defense model. At best, in a tight federal budget environment commercial sector companies can help the Pentagon drive down defense costs, speed delivery timelines, increase government capacity by augmenting existing defense and intelligence community assets (in space, for example), and fuel greater creativity. However, leveraging the commercial sector for defense and national security purposes also requires thoughtful, objective analysis as this effort carries significant mission risks. These include whether the commercial sector can scale its production lines to meet government requirements, deliver products that can perform to standard in tough operating environments, and survive the challenges inherent in dealing with the start-stop nature of government funding cycles, as well as navigate the government's arcane contracting and security bureaucracies.

For clients in this area, the next few years will offer the potential for commercial market entrants to win significant Pentagon contracts and carve out a lucrative niche in key mission areas. However, it's also likely that many defense start-ups will struggle with the department's shifting production requirements, funding gaps caused by delayed or canceled programs, and the Pentagon's complex contracting process. This is a field in which there will be clear winners and losers, and a winnowing process that may leave many start-ups struggling to survive.

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A renewed interest in burden sharing. The Trump administration has spent considerable time criticizing traditional allies, especially NATO members, about their contributions to collective security and unwillingness to spend more on their own defense. As America's debt burden grows and defense budgets face mounting pressure, the US will increasingly need allies to carry more of the load — making burden sharing a fiscal necessity. While many countries have responded by increasing their defense outlays, the president's criticism and recent threats to withdraw US troops from Europe and cancel joint exercises with South Korea have placed an enormous strain on these relationships. Indeed, many of the "middle powers" have recently begun hedging against their dependency on US defense ties—a trend that will likely continue for the next two years (see: US will retain high-end advantage amid global defense hedging, 3 September 2026). Beyond that, America's impending budget crunch and the arrival of a new administration in 2029 will likely jumpstart a discussion within policy circles concerning the real-world value of allies, especially their ability to help balance and enhance US combat capabilities, augment capabilities in nontraditional missions such as mine-sweeping, space-based intelligence collection, and cyber defense, and help keep defense-industry production lines open. Part of that discussion will involve the US being more receptive to co-production and even, in selected cases, more forward-leaning technology transfer arrangements with key allies.

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